

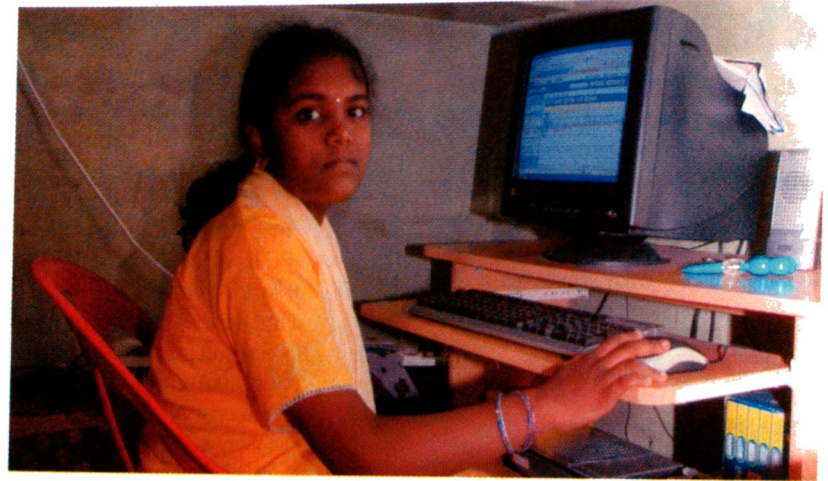
► **YAMUNA PRIYA, 14, SCHOOLGIRL**
Chennai's Lavanya and Jayakumar believe IT is the future, so a computer for their children at home is a must.

"With Encarta, I can read the atlas online and check spellings on the dictionary."

on inexpensive cellphone chips and comes without the hard-disk drive, extensive memory and prepackaged software that add hundreds of rupees to the cost of regular PC. Instead, this concept PC has a keyboard, screen and a couple of USB ports. All applications are run on the central network server, which runs software applications and stores data. So you can use Microsoft Office and Power Point but it will not be locally on your hard-disk but on the central server. The network will be your computer. Users can just hit the ground running by logging on and accessing the web pages and the broadband service provider's local hosting sites. Says Alok Singh, CEO of Novatium: "Most people use the computer for Internet access. We are trying to address the issue of computing in a holistic way so that the simplicity and ease of use is at the user's end and complexity moves to the service provider."

In fact, Novatium also believes it is a viable option for corporates like a BPO, retail store or a bank having a central system, which is accessed by many users on multiple screens. The company has partnered with Sun Microsystems to market the NetPC to enterprises. Says Priyadarshan Mahanta, chief marketing officer of Sun Microsystems India: "This product fits in with our philosophy of the 'network is the computer.' This would work well in enterprises where multiple people use the same backend."

Even as Sun is bullish on selling this to enterprises, most CIOs feel that the math still does not add up as the running costs of a thin clientele over three



years is still higher than that of a regular PC. Since the main software and other applications sit on the server and the server in turn sends multiple screens to users, in order to cater to several consumers, the server should have the capability of handling many users. Abnash Singh, CIO of Mphasis, is not entirely convinced about the cost-benefit analysis of a thin client-base compared to regular PCs. "For offices, this concept may work as the ease of maintenance and security is an advantage," he says. While networks are remote-managed, for players where data security is an issue, this concept would face hurdles.

The going may not be easy for the home-user market either, if industry players are to be believed. A skimmed version of computing may not be for the tech-savvy, as entertainment forms a big chunk of the PC experience. For those who are miles away from the world of technology, this may be a welcome development, but for those who use the computer for entertainment and data storage the concept may not find an instant buy-in—especially since it's not just affordability that's hampering growth of PCs in India. Even though the NetPC comes with a broadband connection, at Rs 400 the running cost per annum would add up to Rs 4,800 over and above the fixed cost. And that, accord-

ing to Raj Saraf, managing director of Zenith Computers, is a permanent cost you are paying for the computing and service and broadband connection, unlike a regular PC where the monthly cost is as per usage.

The NetPC would be at a disadvantage due to several other factors also. For instance, the device would not allow printing at the given price point, nor would it allow the user to store his data locally, unless transferred on to a pen drive. The device would also not support DVDs, downloads of films or any other rich media experience. Jain, of course, believes that the ecosystem can be easily built. The speed would be as fast or as slow as that of any other Internet or broadband service, but the speed between the local host of the broadband or ISP and the user will be very fast and these are the existing pipes that don't need any booster. A whole lot of content like movies, educational software and music can sit on the local host's server which the consumer can download, says Jain. Since the NetPC would be sold as a package deal with the Internet connection, the success of this service would depend on partners and their dedication to this concept.

However, computing as a service has its own challenges. The Indian consumer may be price conscious, but isn't likely to compromise on quality of experience. The success of this concept depends on the value proposition and the target audience. Like any service, this one too would have to be layered with value-added services as in the case of mobile telephony. Till that time, the jury will be out on these concepts, which are still in their pilot stages. ■



"We are addressing computing issues in a way so that the ease of use is at the user's end."

ALOK SINGH, CEO, NOVATIUM